

LESSON SEVEN

ICEBERGS AND SPOOFING

How the big players hide real size and fake false size on the ladder, how to tell the two apart, and how to trade with the iceberg instead of into it.

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Ether, the free side of Ethos

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This guide pairs with the video. [Watch it](#) for the live walkthrough, keep this next to the charts.



Iceberg orders

An iceberg order is a large order broken into smaller visible chunks. Only a small portion shows on the DOM, the rest sits hidden, reloading the same level as the visible size gets hit.

WHY INSTITUTIONS NEED THEM

Say an institution wants to short 500 contracts. It cannot just hit the market, there are not enough passive buyers on the bid to absorb the full size. Dumping it all at once would thin the book instantly, collapse the bid several ticks, get the order hunted for liquidity and cost massive slippage. So they show a fraction and work the rest hidden.

HOW IT RUNS

A trader wants 10,000 but shows 500 on the DOM. As the 500 fills, another 500 appears, replenished automatically from the hidden reserve, until the full size is done. Extreme example, but that is the logical extension of the concept.

THE ONE-LINE DEFINITION

An iceberg is hidden true size at one price. The DOM shows 20 or 30 contracts, the level absorbs hundreds.



Trading the iceberg

For an order flow trader the iceberg is a gift, because it shows you where the real liquidity sits.

One level that keeps reloading while heavy volume trades into it is hidden institutional interest.

Short term traders assume the level must break because it keeps getting hit, so they pile in with the pressure. The iceberg absorbs all of it, price holds, and they are trapped. You want to be on the iceberg's side of that trade.



Step 1, watch the level hold

Loads of orders hitting the bid or ask, stacking constantly, and the level refuses to give.



Step 2, confirm the reload

Large volume being held, the visible size refreshing instead of dying. Then wait for more participants to add on within 2 ticks.



Then enter

Bid absorbing and price holding confirms the long above the level. Offer absorbing and capping price confirms the short below it.

SEE IT LIVE

Watch a real iceberg getting worked: [iceberg example](#).



Spoofing

Spoofing is the opposite trick: large visible orders placed to create a false impression, then cancelled before they ever fill. The intent is to move price or bait other traders into acting on a fake signal.

THE CLASSIC PLAY

A trader posts a big sell wall at the offer so it looks like selling pressure is incoming. Algos and humans short into the perceived weakness. The spoofer cancels the wall before it fills and the market moves the other way, everyone who followed the fake signal is on the wrong side.

ICEBERG VS SPOOF, THE TELL

Both look like big size. The difference is behaviour when hit: an iceberg REPLENISHES as it trades, a spoof VANISHES before it trades. Reload is real, cancel is fake.



Spotting the spoof

Four signs of spoofing, then the defensive routine.

VANISHING WALLS

Large visible orders that disappear the moment the market begins to trade into them.

THE FLICKER

Orders that appear and vanish repeatedly within seconds, without ever filling.

ODD PLACEMENT

Size posted far from normal resting levels, or at strange amounts designed to attract attention.

FAST CANCELS

Instant cancellation the moment aggressive orders hit near the level.



Check the prints, not the display

Is volume actually trading into that level, or does the visible size evaporate without meaningful prints?



Never chase spoofed momentum

If the level smells like a spoof, do not enter with the perceived pressure. That pressure is designed to bait you.



Wait for the real flow

Enter only after genuine absorption appears or the fake orders are removed, with confirmation from real prints and sustained liquidity.

SEE IT LIVE

Watch a spoof in action: [spoofing example](#).



Layering, flipping and the filter

Two more ladder games sit between the honest iceberg and the outright spoof. Naming them keeps you from being played.

LAYERING

A spoofer posts a ladder of fake orders at several prices, not just one wall, to paint a wall of pressure. It looks like deep conviction, it is theatre. Tell: the whole stack pulls together the moment price approaches.

FLIPPING

Size that jumps from the bid to the ask and back, faster than any real order manager would work. It is designed to fake a change of control. Tell: no prints trade, only the display flickers.

The single reliable filter under all of it is the refresh rate against the prints. Real hidden size (an iceberg) refreshes as volume trades through it, you see the prints. Fake size (spoof, layer, flip) refreshes or vanishes with no prints at all. Prints are truth, the display is a story.

THE ONE HABIT

Before you trust any wall, ask one question: is volume actually trading into it? If the size keeps changing but the tape is silent, it is a lie. Trade the prints, never the picture.





Now see the hidden size.

You can now tell real liquidity from theatre. Inside Ethos, the mentorship, the KG models put these reads to work live, three sessions a week.



Reload is real, cancel is fake

The one line that separates icebergs from spoofs.



Side with the iceberg

Hidden size defending a level is the strongest ally on the ladder.



Never trade the bait

Spoofed walls exist to make you click. Wait for real prints.

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